

SWIGGY INSTAMART – REGAIN MARKET POSITION

Product Strategy Analysis Report

Abstract

The document summarizes key findings of the strategic analysis for Swiggy Instamart by applying various frameworks.

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Introduction

Instamart, Swiggy's on-demand grocery delivery service started its operations in selected cities of Bengaluru & Gurgaon in the midst of 2020 pandemic. From 45 mins grocery delivery back then to today's 10 mins quick delivery of grocery & other household essentials, Swiggy Instamart has come a long way by constantly innovating & optimizing its operations. It leverages deep data on purchase & stocking patterns and also has robust technical & delivery infrastructure.

How it works

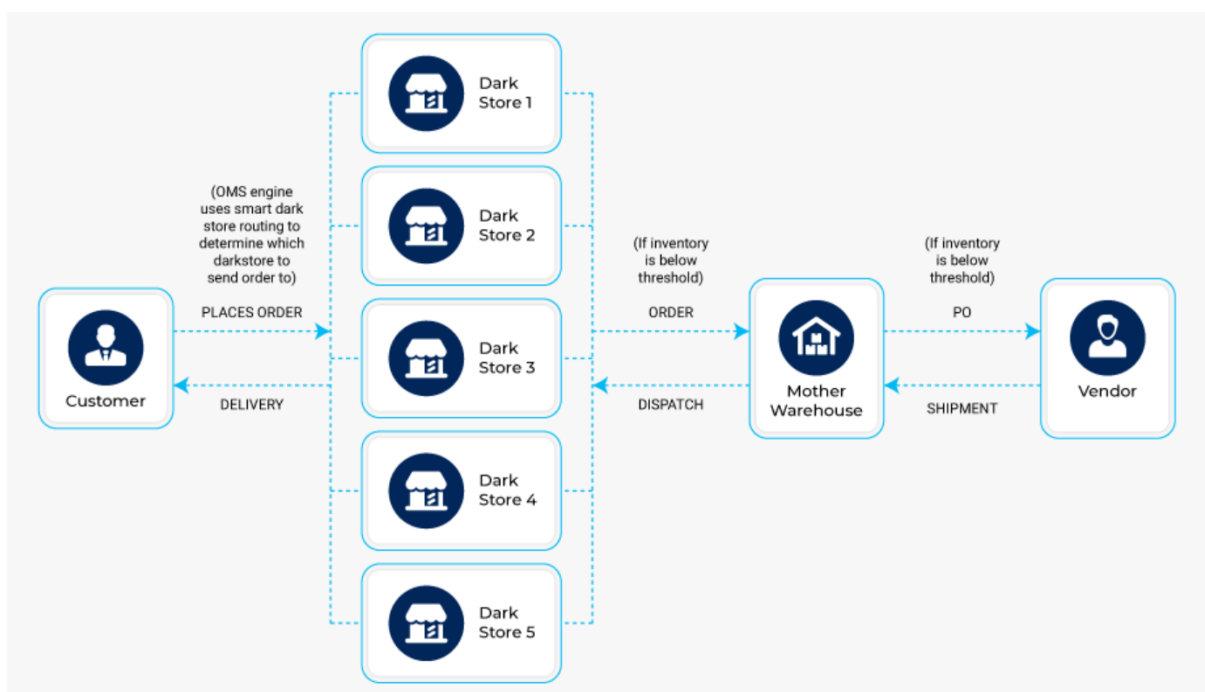


Instamart operates through a network of dark stores that are strategically located in targeted customer areas. The layout of these stores is optimised to store maximum SKUs in limited space & place frequently bought items nearby. The store operators pick & pack the items in

just a couple of mins as they know the exact shelf location with the help of technology. It has smart inventory management to ensure all frequently ordered items are stocked & replenished by analysing demand patterns & seasonal market trends. It is observed that 90-99% of customer basket gets covered in 1500 SKUs.

The dark stores are replenished by large warehouse called mother warehouse that supports 30-40 stores and is located in the outskirts of the city. These warehouses collect all the procurement from manufactures/farmers and disperse it to the dark stores once or twice a day depending on category & demand.

At the execution side, the order management system takes care of the entire flow from order placement (to nearest dark store) to fulfilment by seamlessly integrating with various systems like inventory, invoice generation, payment gateways and delivery. The following diagram shows typical flow of a quick commerce order:



Source: <https://www.vinculumgroup.com/quick-commerce/>

In order to understand what product strategies Instamart has, its effectiveness in the changing market dynamics and identify the areas of improvement, we will conduct thorough strategy analysis using some of the proven frameworks & techniques. These frameworks help us understand value proposition of a business; measure competition, attractiveness & profitability of the industry; assess strengths/weaknesses of the organisation and opportunities/threats in the market; analyse core competencies that give sustainable competitive advantage and assess the effectiveness of brand positioning strategy.

The following product strategy frameworks were applied for Swiggy Instamart:

Philip Kotler's Concept of Value Creation

Swiggy Instamart's value proposition is not only delivering wide range of products with offers & discounts but to provide unparalleled convenience & elevate the quality of life for urban consumers. While on this mission, it also wants to create sustainable future by adopting environment friendly choices such as using e-bikes for delivery, grouping nearby orders, using cloth bags for packing orders etc.

Instamart wants to capture the moment when user decides to order online to fulfil an experience. It could be cooking together, munching while binge watching a favourite show, hosting an unplanned house party, and so on. These sentimental values should be used in advertising & promotional content to gain heart share of the customers & be on the top of their mind for online shopping needs. There should be great focus on building Instamart as a brand for online groceries & essentials that lives by its core values of providing unparalleled convenience in a sustainable way.

How Instamart delivers value to its customers? The urban life is getting busier & with prevalence of nuclear families, managing daily essentials is yet another task. Instamart, with thousands of SKUs spread across categories like grocery, fruits/vegetables & dairy, snacks & drinks, beauty & personal care, household essentials, medicines, stationery, pet care etc. delivers everything you need at your doorstep, just when you need it – the convenience that no other shopping experience can offer. It also provides economic value by offering regular discounts, special deals & offers.

Swiggy Instamart is accessible from the main Swiggy app. It makes the shopping experience easy & engaging by sorting products in the right categories & personalising user journeys. It also tries to replicate the in-store joy of shopping by making new product discovery easy. With strategically located dark stores that are organised for speed & efficiency and advanced algorithms to optimise last mile delivery, Instamart delivers correct orders on time, almost every time!

Instamart is also driven by the win-win model philosophy, where it creates value for its merchant & delivery partners who are important part of the entire ecosystem. Swiggy ensures the merchants/distributors make good profit through the platform and also takes slew of measures to ensure the delivery partners have effortless order experience. It provides them clarity on earnings, payouts, more opportunities and have on call doctors, washroom tie-ups to make their life easier.

Porter's Five Forces Analysis

The Porter's five forces analysis provides in-depth understanding of the industry the company operates in by assessing five important aspects viz. competition, available substitutes, how strong/weak the barriers to entry are and the role of suppliers & customers.

Competitive Rivalry	• Top competitors - BlinkIt, Zepto, BigBasket • All have expanded their product portfolio to include non-grocery retail assortments like electronics, home appliances, beauty & more
Threat of New Entrants	• Existing e-commerce giants like Flipkart, Reliance & Amazon are entering into this space • Other online platforms like Ola, Nykaa tweak their offerings to match q-commerce speed
Power of Suppliers	• Manufacturers & farmers are direct suppliers of the goods & fresh produce to sell • They have moderate power given the no. of players & growing consumer preference to q-commerce
Power of Customers	• With intense competition in q-commerce industry, customers have more power to choose from multiple options
Threat of Substitutes	• E-commerce platforms, local kirana stores & vegetable markets, shops offering home delivery, supermarkets • The threat is relatively low given the convenience & low prices on q-commerce platforms

Porter's five forces analysis suggests that the quick commerce is a highly competitive & rapidly growing industry with a constant threat of new entrants. The suppliers & customers have considerable bargaining power which indicates the company should focus more on building strong relationships with manufacturers & farmers to get competitive advantage. The company should go aggressive on retaining & acquiring new customers with strong brand positioning and effective sales & marketing strategy.

SWOT Analysis

SWOT analysis helps to identify internal and external factors that can have profound impact on the business performance. An organisation's strengths & weaknesses are internal and can be controlled to build a strong competitive moat. On the other hand, opportunities & threats are external which need to be carefully monitored & managed.

Strengths

- Innovation of dark store based grocery delivery model by leveraging data on consumer density & demand patterns
- Robust technology & integrated delivery fleet to substantially reduce delivery time
- Great consumer focus, constant product innovation to meet new market trends

Weaknesses

- Failure to anticipate competition intensity & threat of new entrants to aggressively expand users beyond Swiggy userbase
- Lack of focus on differentiated positioning of Instamart brand
- Lowest SKUs per dark store (5K) compared to industry average of >6K
- Unable to make the business profitable

Opportunities

- Specific product categories that are in demand but not available on other q-commerce platforms
- Increase wallet share of the existing customers & attract new customers
- New market development by expanding to Tier 2 & 3 cities where competitors have less presence

Threats

- Constantly changing consumer preference in terms of product categories they buy on q-commerce platform
- New entrants with wide product assortments & rapid growth in market share
- Crowded market giving more bargaining power to suppliers & customers

The SWOT analysis underlines Instamart's strengths in innovation, technology and strong leadership with decade long experience in online consumer business, that helps it achieve much needed operational efficiency of its quick delivery model. However, it also highlights its weakness of inability to maintain the market lead in spite of having the first mover advantage and failure to leverage the platform to create strong brand positioning and barriers to entry for other players. With constant threat of new entrants in this lucrative market, Swiggy should follow the competition closely to anticipate their moves and prepare itself to stay ahead in the competition.

On the opportunities front, Instamart's average order value (AOV) is around Rs. 450 which can be increased by promoting more products including the ones with higher margin. Through consumer surveys, it can learn about their unmet needs and try to fulfil them. In the rapidly changing dynamics of the quick commerce industry, Instamart should constantly innovate to provide unique & differentiating value proposition to attract new customers and gain more market share.

Core Competencies for Competitive Advantage

The core competencies that are important for a sustainable competitive advantage in the quick commerce industry are -

Robust Supply Chain

- Q-commerce being a form of retail, getting supply chain dynamics right is crucial to get the competitive edge
- Build strong relationships with manufacturers & farmers for direct sourcing at best price
- Deep data analytics for better demand forecasting & supply planning

Execution Efficiency

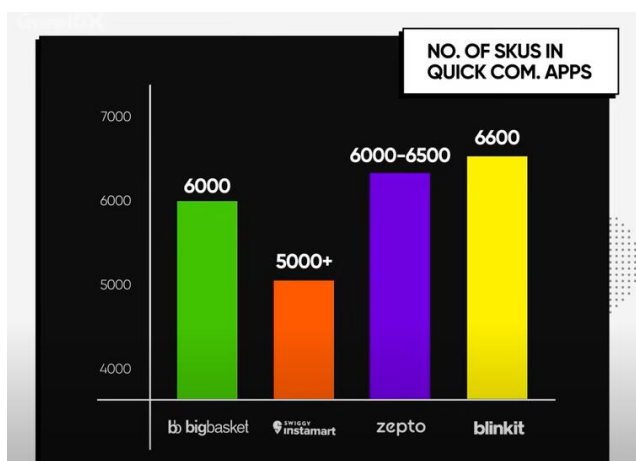
- Have right population density of targeted customers around dark stores for higher utilisation per sq. foot
- Stock & replenish SKUs based on demand pattern & seasonal trends, drive penetration of fresh produce that has higher margin
- Use technology to continuously improve pick & packaging efficiency, productivity of delivery partners, support agents etc.

Customer Focus

- Continuously learn about customer preferences & changing behaviour to tailor offerings accordingly
- Differentiated value proposition to attract new customers

Technology & innovation has been the cornerstone of Swiggy's business which it perfectly leverages for Instamart as well. The order flow from placement to fulfilment is entirely automated using Vin eRetail software that also helps to manage inventory & warehouse operations in real time. It forecasts demand & supply of goods and enables onboarding supply partners. Instamart uses AI to help personalise choices for consumers on the app, decide delivery dispatch algorithm on delivery network, provide high quality search experience using GenAI and much more.

Instamart has around 5000 SKUs per store which is the lowest compared to its competitors (refer below exhibit). It needs to improve on the product assortments to make the customers spend more on the platform.



Source: <https://www.youtube.com/watch?v=TctKw6FfoJA>

Instamart lives by the mission of providing unparalleled convenience to its customers by continuously learning about their preferences, changing behaviours and tailoring its offerings to best suit their needs. At the same time, it also ensures the merchant & delivery partners

make good profits from this platform. Quick commerce being highly competitive market, it is crucial to have win-win model for all the partners to gain competitive edge.

Customer and Competitor Oriented Strategy

To maintain a competitive advantage in the market, it is important to have a mix of customer & competitor-oriented strategy. While Instamart's mission revolves around elevating customers' quality of life, mere customer-oriented approach will not help them sustain the fierce competition in this market. It needs to understand the competitors better by knowing their strengths, weaknesses, strategies and anticipating the challenges or threats they may pose to the Instamart business.

Since the quick commerce category of the retail industry is fairly new & constantly evolving, it should experiment with different offerings to push the boundaries and expand the total addressable market ahead of the competitors.

Brand Positioning

Instamart is integrated in Swiggy app and it is not positioned as an independent brand for online delivery of groceries and other essentials. If we look at the top competitors, Blinkit has positioned itself as a lifestyle platform (with the widest range of products covered in 6600+ SKUs) and Zepto promised delivery under 10 mins. This differentiated positioning has given them a strong brand recall to attract new customers & ensure stickiness of the existing customers. Blinkit, with product assortments ranging from essentials to the topmost premium brands like iPhone & PS5 play station, is successful in creating a perception in consumer's mind that it has everything they might need. Also, as exclusive brands in the category, Blinkit & Zepto enjoy strong brand loyalty, increased sales & growth.

Swiggy's integrated super app approach is mainly targeted to leverage the patronage of their existing food delivery customers. However, the current growth of the quick commerce industry has underlined the fact that the penetration of grocery delivery will be larger than the food delivery business. Swiggy has to thus find and promote a strong differentiating value proposition for Instamart by capturing the untapped opportunities & market segments of the industry. Explore the possibilities of new categories/sub-categories for the offerings that no other competitors have. And then, it should position the Instamart brand such that consumers perceive it as their one-stop place for anything they need to buy online.

Integrated Marketing Communication

The integrated marketing communication strategy puts the emphasis on reaching target customers with relevant & consistent messaging across different communication platforms. The communication needs to be more focused to narrower customer segments.

Instamart can improve its marketing communication by positioning Instamart as a separate brand for online groceries and other essentials. The communication should include functional, social, psychological and economic value it provides through its various offerings.

Instamart can also create a unique proposition by adopting environment friendly practices and proactively including the same in its communication.

Referring the AIDA model (Attention-Interest-Desire-Action), Instamart should promote catchy advertisements in print media, social media, TV & radio commercials to grab attention of the target customers, create interest by highlighting unique value proposition, price discounts, promotional offers etc. Groceries & essentials being repeat purchases, price point plays an important role in creating desire to try out options with lower prices. Also, buying groceries and daily essentials being repetitive mundane task, Instamart can add some fun elements and use them in advertising to attract more customers.

Conclusion

Instamart is a customer focused organisation that lives by the mission of providing unparalleled convenience to its urban consumers. Currently it ranks #2 in the quick commerce market by market share and still holds on to a loyal customer base having patronage since its inception. Innovation, technology & strong leadership have been its pillars of strength which have propelled growth & scalability of its business.

The analysis suggests a few areas of improvement for Instamart's operational efficiency. Instamart has around 5000 SKUs per store which is the lowest compared to its competitors. Also, its average order value is around Rs. 450. It needs to improve on the product assortments to make the customers spend more on the platform and identify more use-cases for people to try out 10-minute deliveries.

A critical finding of the analysis is the way Instamart is positioned in the quick commerce market. While its competitors are exclusive brands with differentiated value proposition, Instamart is an integrated offering of Swiggy. Although, Instamart's strategies and execution is at par with its competitors, it does not stand out with any unique value proposition. Brand positioning is crucial to have a sustainable competitive advantage in a crowded market like quick commerce. Swiggy should consider separating out and promoting Instamart as a separate brand in the quick commerce category.

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